

**FAIR VALUE
MEASUREMENTS****3 Months Ended****Aug. 31, 2022**[Fair Value
Disclosures
\[Abstract\]](#)**3. FAIR VALUE MEASUREMENTS**

We perform fair value measurements in accordance with FASB Accounting Standards Codification (ASC) 820, *Fair Value Measurement*. ASC 820 defines fair value as the price that would be received from a sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When determining fair value measurements for assets and liabilities required to be recorded at their fair values, we consider the principal or most advantageous market in which we would transact and consider assumptions that market participants would use when pricing the assets or liabilities. We also consider inherent risk, transfer restrictions and risk of nonperformance.

ASC 820 establishes a fair value hierarchy that requires an entity to maximize the use of observable inputs and minimize the use of unobservable inputs when measuring fair value. An asset or liability's categorization within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement. ASC 820 establishes three levels of inputs that may be used to measure fair value:

- Level 1: quoted prices in active markets for identical assets or liabilities;
- Level 2: inputs other than Level 1 that are observable, either directly or indirectly, such as quoted prices in active markets for similar assets or liabilities, quoted prices for identical assets or liabilities in markets that are not active, or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities; or
- Level 3: unobservable inputs that are supported by little or no market activity and that are significant to the fair value measurement of assets or liabilities.

Assets and Liabilities Measured at Fair Value on a Recurring Basis

Our assets and liabilities measured at fair value on a recurring basis consisted of the following (Level 1 and Level 2 inputs are shown above):

(in millions)	August 31, 2022			May 31, 2022	
	Fair Value Measurements Using Input Types			Fair Value Measurements Using Input Types	
	Level 1	Level 2	Total	Level 1	Level 2
Assets:					
Money market funds	\$ 2,545	\$ —	\$2,545	\$ 12,842	\$ —
Time deposits and other	197	438	635	240	280
Commercial paper debt securities	—	167	167	—	—
	—	17	17	—	—

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Derivative financial instruments						
Total assets	\$ 2,742	\$ 622	\$3,364	\$ 13,082	\$ 280	
Liabilities:						
Derivative financial instruments	\$ —	\$ 166	\$ 166	\$ —	\$ 97	

Our marketable securities investments consist of money market funds, time deposits and certain other securities. Marketable securities are presented per our condensed consolidated balance sheets including debt securities with original maturities at the time of purchase greater than three months and the remainder of the debt securities were in cash and cash equivalents. We classify our marketable debt securities as available-for-sale debt securities at the time of purchase and we reevaluate such classification as of each balance sheet date. As of August 31, 2022 and May 31, 2022, substantially all of our marketable debt securities investments mature within one year. Our valuation techniques used to measure the fair values of our instruments classified as Level 1 in the table above were derived from quoted market prices and active markets for these instruments that exist at the end of the period. The valuation techniques used to measure the fair values of our instruments listed in the table above were derived from the following: non-binding market consensus prices that were corroborated by observable market data, quoted market prices for similar instruments, observable market data, models, such as discounted cash flow techniques, with all significant inputs derived from or corroborated by observable market data including reference rate yield curves, among others.

Based on the trading prices of the \$91.6 billion and \$75.9 billion of senior notes and other borrowings and the related fair value hedges we had outstanding as of August 31, 2022 and May 31, 2022, respectively, the estimated fair values of the senior notes and other borrowings and the related fair value hedges using Level 2 inputs at August 31, 2022 and May 31, 2022 were \$80.2 billion and \$67.0 billion, respectively.